

Identity, Social Hierarchy, and Labor-Market Institutions

Labor Markets and Political/Cultural Institutions — Week 6

Teaching deck draft

Central question

- How do institutionalized social categories structure access to jobs, networks, authority, protection, and mobility?
- When do caste, race, ethnicity, gender, religion, migrant status, or related categories become labor-market institutions?
- Which evidence identifies employer beliefs, network closure, public rules, contact, or misallocation?

- Week 5: norms of conduct and acceptable labor-market behavior.
- Week 6: durable category-based hierarchy and institutionalized access.
- Conduct norm question: what action is rewarded or punished?
- Hierarchy question: how does category membership structure access, authority, protection, and mobility?

Week 5 versus Week 6

Object	Week 5	Week 6
Main mechanism	conduct and role expectations	category-based access and exclusion
Examples	family roles, competition, reputation, wage acceptance	caste, race, migrant status, religion, gender hierarchy
Labor margin	labor supply, search, entry, acceptable jobs	callbacks, referrals, credentials, protection, occupations
Diagnostic	what conduct is costly?	which gate is category-ranked?

When categories become institutions

- A category becomes institutional when it repeatedly changes labor-market gates.
- Gates include hiring, promotion, credential recognition, network access, occupation entry, public jobs, and legal protection.
- The category matters because organizations and rules make it predictive of access.
- Start from the labor outcome, then name the institutional channel.

A compact access map

$$P(\text{access}_{ij}) = f(x_i, q_i, B_j, N_i, L_i, H_i)$$

- x_i : observed human capital.
- q_i : job-relevant quality that may be imperfectly observed.
- B_j : employer beliefs or screening rules.
- N_i : network access; L_i : legal or public-rule status.
- H_i : category-based hierarchy.

Employer beliefs and differential treatment

- Resume names, accents, addresses, schools, and credentials become screening signals.
- Bertrand–Mullainathan: randomized names on resumes identify callback differential treatment.
- Oreopoulos: skilled immigrants, foreign credentials, and employer interpretation of background signals.
- Strongest claim: first-stage access changes when the category signal changes.

What audit designs identify

Design	Identifies best	Does not identify alone
Resume audit	differential treatment at a hiring gate	wages, promotions, lifecycle effects
Credential experiment	value assigned to visible credentials	true productivity, licensing, long-run match quality
Name or accent signal	screening response to category signal	taste versus statistical discrimination without more evidence

Networks, referrals, and occupation persistence

- Networks transmit information, insure risk, screen workers, and enforce obligations.
- They reproduce hierarchy when valuable referrals are category-closed.
- Munshi–Rosenzweig: caste networks, schooling, occupations, and mobility.
- Key diagnostic: is the network solving information problems, restricting mobility, or both?

Credential recognition and occupation boundaries

- Skills can have high productive value but low market value if credentials are discounted.
- Migrant status often combines name screening, local-experience requirements, licensing, and legal exposure.
- Occupation boundaries restrict entry into high-return tracks and authority positions.
- The labor object is underemployment, downgrading, promotion barriers, and constrained matching.

$$Y = Y^*(1 - \mu_H)$$

- Y^* : output under a less distorted allocation of talent.
- μ_H : output share lost because hierarchy restricts occupational access.
- Hsieh–Hurst–Jones–Klenow: barriers by race and gender reduce aggregate talent allocation.
- Audit evidence does not mechanically scale to μ_H ; the bridge needs equilibrium assumptions.

- Hierarchy can be produced by the state, not only by private employers.
- Public employment, legal status, licensing, enforcement, schools, housing, and policing shape labor access.
- Aneja–Xu: federal employment segregation under Woodrow Wilson.
- Historical and public-rule shocks identify effects of institutional reorganization on labor outcomes.

Local governance and spatial sorting

- Local implementation determines who gets protection, whose complaints are credible, and which firms comply.
- Residential sorting changes commuting costs, job information, school access, and exposure to employers.
- Migrant settlement and ethnic enclaves can lower job-search costs while segmenting occupations.
- Place is an institutional margin when it structures access and protection.

Contact and integration

- Contact is an institutional design problem, not just proximity.
- Lowe: collaborative and adversarial caste contact have different effects.
- Workplace teams, training programs, and public works projects can reduce or reinforce hierarchy.
- Contact experiments identify the effect of a designed interaction, not all labor-market barriers.

Identification map

Design	Identifies best	Main caution
Audit or resume experiment	differential treatment at a gate	partial labor margin
Network or migration design	referral access and persistence	efficiency versus exclusion
Public-rule shock	state-created access changes	spillovers and persistence
Contact experiment	effects of interaction design	external validity
Misallocation framework	aggregate cost of barriers	model dependence

- Micro: callbacks, interviews, credential screening, individual treatment.
- Meso: networks, local governance, occupation boundaries, spatial sorting.
- Macro: aggregate talent allocation, output losses, stratification across groups.
- Frontier work links levels without treating one estimate as the whole mechanism.

- Reproduce: synthetic resume-audit exercise inspired by Bertrand–Mullainathan.
- Diagnose: classify barriers as belief, network, credential, legal, contact, spatial, or macro.
- Transfer: map designs to Oreopoulos, Munshi–Rosenzweig, Lowe, Aneja–Xu, Hsieh et al., and Darity.
- Core output: gate, institutional channel, evidence level, and Week 5 versus Week 6 boundary.

- How do micro hiring barriers become macro allocation losses?
- Which institutions weaken hierarchy rather than moving it to another gate?
- How do legal status, credential recognition, and labor demand interact for migrants?
- When do public employers mitigate hierarchy, and when do they entrench it?
- Which forms of contact reduce hierarchy durably?

- Week 6 studies hierarchy as a current allocation system.
- Week 7 asks why past institutions persist after formal rules change.
- Persistence can run through schooling, occupations, assets, places, networks, and public employment histories.
- The next question: when does institutional origin become durable labor-market inequality?

- Category hierarchy becomes institutional when it governs access to labor-market gates.
- Main channels: beliefs, networks, credentials, occupations, public rules, local governance, place, and contact.
- Designs identify different objects; name the gate before interpreting the gap.
- The frontier connects micro barriers to meso persistence and macro talent allocation.